NATIONAL COMPANY LAW TRIBUNAL
GUWAHATI BENCH: GUWAHATI

C.P. (CAA)/03/GB/2018
In
Diary No. 02(15) / 2018

Under Sections 230 to 232 of the Companies Act, 2013;

In the matter of:

1) KB CEMENTS PRIVATE LIMITED
And
2) FEEGRADE & CO PRIVATE LIMITED

..... Applicant company

Order delivered on 22nd January, 2019

Coram:

Present: Hon'ble Mr. Justice P. K. Saikia, Member (J)

For the Applicant Company : Mr. A.K Shrivastava, Advocate
Mr. Akash Sharma, PCS
Mr. Abhijit Baruah, Advocate

ORDER

1. The object of this petition is to obtain sanction of this Tribunal to the Scheme of Amalgamation proposed to be made between the Transferee Company, Feegrade & Co Private Limited and the Transferor Company, KB Cements Private Limited and their respective shareholders whereby and whereunder the entire undertaking of the Transferor Company as a going concern together with all its assets and liabilities will stand transferred to and vested in the Transferee Company with effect from 1st April, 2017 in a manner provided in the Scheme of Amalgamation in Diary No. 2(15) of 2018.

2. It is stated in the petition that the Transferor Company is engaged in the business of production and manufacture of cement and Transferee Company is engaged in the business of mining and manufacturing of steel. The said scheme would lead to a more concentrated approach towards development of the business and the achievement of their objectives as per their Charters.

3. It is further stated that the proposed Amalgamation will lead to proactively decrease the average cost per unit through increased productivity which will achieve the economies of scale of the Transferee Company on next level by which the Transferee Company can enhance its businesses.

4. It is further stated that the proposed Amalgamation will also lead to higher financial gain which may be in the form of tax advantage, higher credit worthiness and lower rate of borrowing.

5. It is further stated that the proposed Amalgamation will lead to consolidate the Transferor Company with the Transferee Company which would help to minimize the cost of operation and would also help to streamline its operations.

6. That the proposed Amalgamation will lead to reduction in Administrative overheads of the Amalgamated Company.

7. It is further stated that the proposed Amalgamation will lead to optimum utilization of resources including manpower of the Amalgamated Company.

8. It is further stated that the consolidated entity will offer a strong and stable financial structure to all stakeholders, facilitate resource mobilization and lead to the achievement of better cash flows and also optimum utilization of assets and resources. This will result in a substantial enhancement of shareholders value of the Transferee Company.

9. It is further stated that the said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages.

10. It is further stated in the petition that the said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

11. It is further stated in the petition that the said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability.

12. It is further stated in the petition that the said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

13. It is further stated in the petition that the said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

14. It is further stated in the petition that that the said scheme will have beneficial results for the applicant Companies concerned, their shareholders, employees and all concerned.

15. Vide Order dated 30.07.2018 made in the Diary No. 2(15) of 2018 passed by this Tribunal, the meeting of equity shareholders and creditors of both the Petitioner Companies were dispensed with.

16. In terms of the said Order dated 30.07.2018, Notice in CC-83 accompanied with copy of the Scheme of amalgamation along with other required documents were sent to the Central Government/ Regional Directors/ Registrar of Companies, NE Region, Shillong/ Official Liquidator and Income Tax Authority having jurisdiction over the Transferor Company.

17. In compliance with Rule 12 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Petitioner Companies filed an Affidavit of Service affirmed on 12.10.2018.

18. After such due compliance, the petitioners have made a petition bearing No. C.P. (CAA)/03/GB/2018, before this Tribunal, among other things, seeking final sanction to the proposed scheme of Amalgamation.

19. This Tribunal had passed an order dated 7th December, 2018 in the said Petition, bearing C.P.(CAA) No. 03/GB/2018 connected with Diary No. 02(15) of 2018 directed to serve copy of scheme of amalgamation to the Central Government through Regional Director, North-Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Shillong and to the concerned Assessing Officer along with the Chief Commissioner of Income Tax with PAN numbers of the Petitioners Companies and also to the Official Liquidator having jurisdiction over the Transferor Company and also publication to be effected of the hearing of the said Petition at least 10 days before the date fixed for hearing.

20. In compliance of the Order dated 7th December, 2018, passed in C.P. (CAA) No. 03/GB/2018 connected with Diary No. 02(15) of 2018, the Petitioner Companies have filed Affidavit of Service affirmed on 27.12.2018 evidencing publication of notice in the newspapers and service of notice upon the Central Government through Regional Director, North-Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Shillong and to the concerned Assessing Officer along with the Principal Chief Commissioner of Income Tax.

21. The Regional Director, North-Eastern Region, Ministry of Corporate Affairs, vide his report dated 10.01.2019, has reported as below:

"File No.RD(NER)/NCLT/2019/487 *Date: 10.01.2019*

I, Bibekananda Mohanty, son of C.C. Mohanty aged about 56 years, worling for gain as Regional Director, North Eastern Region, Ministry of Corporate Affairs, Shillong having my office at MORELLOW BUILDING GROUND FLOOR, KACHARY ROAD, SHILLONG-793 001, do hereby solemnly affirm and state as follows: -

1. *That I am the Regional Director, North Eastern Region, Ministry of Corporate Affairs, at Shillong and duly authorized to make this affidavit on behalf of the Central Government. I am well acquainted with the facts and circumstances of the instant case and competent to affirm this affidavit.*
2. *That the observations of the Central Government on the scheme are as under:*
   a. *That it is submitted that on examination of the report of the Registrar of Companies Dated 04.10.2018 it appears that no complaint and/or representations has been received against the proposed scheme of Amalgamation. The petitioner companies are also up-dated in filing their statutory returns. It is further submitted that on examination of the proposed scheme of amalgamation, it appears that the proposed scheme is not prejudicial to the interest of members/shareholders and/or public. The Central Government has, therefore, decided that the instant petition/scheme need not be opposed.*
   b. *It is submitted that as per instruction of the Ministry of Corporate Affairs, New Delhi, a letter was forwarded to the Income Tax Department on 13.09.2018 with a request to forward their comments/observations/objections, if any, on the scheme of amalgamation between the transferee and transferor companies. However, the said authority has not forwarded their report to this Directorate till date.*
   c. *The statement made in paragraph 1 is true to the best may knowledge and those made in paragraph 2 is information derived from the records of the case. These are my humble submissions before this Hon'ble National Company Law Tribunal, Guwahati Bench for kind consideration and disposal of the case on its merits."*

22. The Official Liquidator has also submitted his report vide his letter No.OL/GUW/,ER/1215 dated 10-01-2019. The OL further stated that he has rendered his opinion on the basis of the documents furnished to him by the petitioners. However, on the basis of the information he has received from the RD, Shillong, he has formed his opinion that the affairs of the transferee company and the transferor company to have been conducted in the interest of public as well as in the interest of the members of the said companies. For ready reference, paragraphs 18, 19 and 20 of the report of the OL is reproduced below:

"18. That the report of the Official Liquidator is based upon the documents/reply submitted by the petitioner companies. Balance sheet, Memorandum and Article of Association and other documents furnished by the petitioner companies has not been enclosed with the report as the same are already on records of Hon'ble National Company Law Tribunal.

19. *That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies does not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/ the Companies Act, 2013 whichever is applicable.*

20. *That in view of the submission made above the Hon'ble National Company Law Tribunal may like to pass such order/orders as deemed fit and proper in the facts and circumstances of the case."*

23. The Official Liquidator attached to Hon'ble High Court, Shillong vide its report dated 10.01.2019 has observed that after scrutiny of the relevant papers and records etc., submitted by the Advocate-on-Record of the Petitioners, the Official Liquidator is of the opinion that the affairs of the Transferor Company, namely JP Cements Limited, have not been conducted in a manner prejudicial to the interest of their members or to the public.

24. I have heard the learned counsel of the petitioners. In view of the facts stated above and in absence of any objection from the auditors concern and since all the requisite compliance have been fulfilled, I render the following orders in terms of the prayers made in the petition:

ORDER

a. The Scheme of Amalgamation mentioned in this Petition being Annexure "A" hereto be sanctioned by this Hon'ble Tribunal to be binding with effect from 1st day of April, 2017 on the Transferor Company and their shareholders and all concerned;

b. All the properties, rights and interest of the Transferor Company be transferred to and vested in without further act or deed in the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Company but subject nevertheless to all charges, now affecting the same;

c. All the liabilities and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of the Transferee Company;

d. That all the proceedings and/or suit appeals now pending by or against the Transferor Company shall be continued by or against the Transferee Company;

e. The Scheme does not envisage any allotment of shares inasmuch the paid up share capital of the Transferor Company shall stand cancelled against investment of the Transferee Company in the Transferor Company, however the Authorized share capital of the Transferee Company shall increase by the Authorized Capital of the Transferor Company without any payment of fee;

f. The schedule of assets in respect of Transferor Company shall be filed within a period of 60 days from the date of the order to be made herein;

g. The Transferor Company namely JP Cements Limited shall stand dissolved from the appointed date;

h. The Transferor Company shall within 30 days after the date of obtaining the Certified Copy of the order to be made herein cause certified copies of this order to be delivered to the Registrar of Companies, Shillong for registration respectively;

i. In the event of the Petitioners supply legible computerized print-out of the scheme and schedule of assets in acceptable form to the department, the department will append such computerized print-out, upon verification to the certified copy of the order without insisting on a hand-written copy thereof.

j. Accordingly, the Company Petition bearing No. C.P. (CAA) No.03/GB/2018, connected with Diary No. 02(15) / 2018, stands disposed of.

k. k. Certified copy of the Order may be issued, if applied for, upon compliance with all the requisite formalities.

25. The present proceeding is disposed of accordingly.

Sd/-

Member (Judicial)
National Company Law Tribunal
Guwahati Bench

Ashish/Deka/